Tax Journal Approval Matrix and Segregation of Duties

Halide Labs — Internal Control Policy · Policy ID: HL-TAX-POL-004 · Owner: Controller (Daniel Okafor) · Effective: 1 July 2026 · Version 3.0

> FICTIONAL COMPANY POLICY FOR DEMO PURPOSES. Halide Labs is a fictional company.

1. Principle

No single person or system may both **create** and **approve** a tax journal entry. Approval authority is enforced by system permissions (database roles and grants), not by instructions to people or to software.

2. Roles

Role	Who	May	May not
Tax AI assistant (role TAX_AGENT)	Claude, running as a Cortex Agent	read tax data and policies; **propose** use tax accruals; **flag** vendor overcharges	approve, post, release holds, change rates or rules
Tax Analyst (role TAX_ANALYST)	Tax team, e.g. Priya Raman, Tam Tran	everything the assistant may do; review proposals	approve or post
Controller (role CONTROLLER)	Daniel Okafor	approve or reject proposals	approve a proposal he prepared himself
ERP posting service	myERP	post approved entries to the ledger	—

3. Approval matrix (amounts in USD equivalent)

Entry type	Under 10,000	10,000 – 99,999	100,000 and above
Use tax accrual (HL-TAX-POL-001)	Controller	Controller	Controller + Senior Manager, Tax
Reverse-charge / acquisition VAT (HL-TAX-POL-003)	Controller	Controller	Controller + Senior Manager, Tax
Vendor overcharge flag (HL-TAX-POL-002)	no approval to flag; hold release by Controller	same	same, CFO notified

4. Rules

1. **Propose, never post.** An AI assistant may create proposals with status `pending` only. Approved proposals are exported to the ERP for posting; nothing is posted from the tax desk.
2. **Maker–checker.** The approver must be a different user from the preparer.
3. **Deterministic amounts.** Proposal amounts come from the tax engine's tax lines; they are not typed in by the preparer.
4. **Balanced entries.** Total debits must equal total credits before a proposal can be approved.
5. **Audit trail.** Every proposal, flag, approval and rejection writes an audit-log row with user, role, time and outcome.
6. **Restricted accounts.** Accounts 2410, 2420 and 1400 accept entries only through approved tax journals.

5. Access reviews

The Controller reviews membership of CONTROLLER, TAX_ANALYST and TAX_AGENT roles quarterly. Programmatic tokens used by the AI assistant are restricted to the TAX_AGENT role and expire within 90 days.